Neuroeconomics

WHAT'S YOUR LIZARD brain been up to?

All of the behaviors we have discussed are readily observable. We can see people in the world and watch how they spend and invest their dollars.

But what happens as they make decisions about risk and money? What parts of our brains are engaged in this process? How do the bodies we inhabit, filled with hormones, chemicals, drugs, food, etc., impact our thinking?

Neuroeconomics is a natural extension of behavioral economics. It seeks to identify the physiological processes that occur as we make these choices. The field has made numerous discoveries, many of which suggest that our subconscious drives much of our decision-making before we are even aware of it.

Professor Colin Camerer teaches behavioral finance and economics at the California Institute of Technology and is a Distinguished Senior Fellow at Wharton Neuroscience. He is credited with inventing Behavioral Game Theory.[366] His work on risk, self-control, and strategic choice led to his being named a MacArthur Genius Fellow in 2013.

I discussed the concept of *hypothetical bias* with the Cal-Tech professor.[367] When scientists ask hypothetical questions—"Will you vote in this election?"—about 70% of study participants answer affirmatively. However, people's real-life behavior differs dramatically from how they answer: Only around 45% of the people in the study actually voted. In races where a 1%-point swing can determine an election, a 25% difference between intention and behavior is massive. No wonder political pollsters keep getting their projections so wrong.

To circumvent the hypothetical bias issue, Camerer suggests: "Don't ask the person; ask the brain!" Rather than relying on what people *say* they will do,